

After A Recession, The Least Rational Rise (Temporarily) To Prominence. Ignore Them.

IF YOU ARE reading this, the previously scheduled end of the world did not occur.

Despite millennia of Armageddon forecasts, betting on the end of the world has always been a money-losing wager. Given this oh-fer batting record of 0.000%, one wonders why people still regularly make this forecast. Wall Street fund strategists, religious zealots, economists—all seem strangely drawn to it. Never mind that if it ever were a winning trade, no one would be left for you to collect from. (This is called counterparty risk.)

Us humans are a hardy breed. No matter how dire the circumstances, our species has prospered.

We survived the Ice Age, the Dark Ages, the Middle Ages, and the Age of Aquarius (as well as Disco and Polyester). Mother Nature has thrown floods, earthquakes, droughts, plagues, pandemics, tornadoes, asteroids, tsunamis, hurricanes, melting glaciers, and global warming at us. Not to mention world wars and nuclear proliferation.

Economically, we've withstood the Panics of 1819, 1825, 1837, 1847, 1857, 1866, 1873, 1884, 1890, 1893, 1896, 1907, 1929, 1933, 1938, 1973, 1987, 1998, 2000, 2007–09, and 2020—and that is just over the past two centuries. We also saw through the Tulip Bubble, the South Sea Bubble, the Great Depression and the Great Recession, the Nifty-Fifty, the Asian Contagion, the Dotcom Bubble, the subprime fiasco, Bernie Madoff, and most recently, the Covid-19 pandemic.

What is it going to take to kill this species off—or at least to bankrupt it?

Given this long and storied history of survival, why does anyone pay